

ASCII MASTER FLOW – PANEL 1/12: Stress recognition rail

WEAK CASH FLOW

-> OVERDUE UNDER RBI TEST

-> NPA RECOGNITION

-> PROVISIONING + CAPITAL PRESSURE

MUST REMEMBER: Asset-quality stress moves from repayment weakness to recognition,...

ASCII MASTER FLOW – PANEL 2/12: Loan-accounting fork

PROVISION -> expected loss charged to income

WRITE-OFF -> removed from active loan book

WAIVER -> liability legally relinquished

RECOVERY RIGHTS may survive a write-off

ASCII MASTER FLOW – PANEL 3/12: Risk-weighted capital board

BASEL GLOBAL -> CET1 4.5 | TIER 1 6 | TOTAL 8

RBI INDIA -> CET1 5.5 | TIER 1 7 | CRAR 9

CCB -> 2.5 CET1

VINTAGE -> RBI Master Circular, 1 Apr 2025

ASCII MASTER FLOW – PANEL 4/12: Twin-balance-sheet loop

CORPORATE OVER-LEVERAGE

- > WEAK DEBT SERVICE
- > BANK NPAs + CAPITAL LOSS
- > WEAKER FRESH CREDIT

ASCII MASTER FLOW – PANEL 5/12: Recovery-resolution ladder

SARFAESI -> secured-asset enforcement

DRT -> specialised debt recovery

IBC / NCLT -> collective insolvency

ICA -> lender coordination, not a tribunal

ASCII MASTER FLOW – PANEL 6/12: Stressed-asset transfer

BANK BALANCE SHEET

-> ARC / NARCL TRANSFER

-> SPECIALISED RECOVERY OR SALE

LOSS REMAINS -> valuation and buyer interest decide

CLOSE DISTINCTION: Gross NPA is not net NPA, provision is not write-off, write-off is not...

ASCII MASTER FLOW – PANEL 7/12: Supervisory repair sequence

AQR -> RECOGNITION

PCA -> GRADUATED SUPERVISION

RECAPITALISATION -> LOSS ABSORPTION

4R -> RECOGNITION + RESOLUTION + RECAP + REFORMS

ASCII MASTER FLOW – PANEL 8/12: Stress indicators board

NPA -> prudential loan classification

ICR -> earnings / interest-service indicator

EVERGREENING -> concealed stress

FORBEARANCE -> temporary relief, not permanent concealment

ASCII MASTER FLOW – PANEL 9/12: Inclusion quality triangle

ACCESS -> account or service availability

USAGE -> active and suitable use

QUALITY -> protection + grievance + suitability

FI-INDEX -> all three; no base year

ASCII MASTER FLOW – PANEL 10/12: Inclusion delivery map

PMJDY -> transaction-account platform
SHG-BANK LINKAGE -> group savings to formal bank
BUSINESS CORRESPONDENT -> last-mile access
WATERCREDIT -> targeted water/sanitation finance

ASCII MASTER FLOW – PANEL 11/12: Credit-cleanup trade-offs

EARLY RECOGNITION -> credibility / short-run ratio shock
HIGHER CAPITAL -> resilience / lending constraint
FAST RECOVERY -> discipline / viability risk
DIGITAL ACCESS -> lower cost / exclusion and mis-selling risk

ASCII MASTER FLOW – PANEL 12/12: NPA answer spine

DEFINE stress and classification

ABSORB loss through provisions and capital

CHOOSE recovery, resolution or transfer

RESTORE governance and useful inclusion

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use ratio numerator/denominator and date,...